



INTERIM FINANCIAL STATEMENTS

31 MARCH 2018



Arpico Insurance Plc

STATEMENT OF COMPREHENSIVE INCOME

For the three months ended 31 March

		Three Months Ended 31 March 2018 Unaudited	Three Months Ended 31 March 2017 Unaudited
	<u>Note</u>	<u>Rs</u>	<u>Rs</u>
Revenue		389,795,485	231,844,046
Gross written premium	3	346,111,832	198,496,732
Premium ceded to reinsurers	3	(7,534,760)	(7,018,884)
Net written premium		338,577,073	191,477,848
Other Revenue			
Fee and Commission Income	3	6,457,087	4,407,746
Income from investments	5	43,088,700	34,838,865
Realise Gain	3	-	-
Other Income	3	1,672,626	1,119,587
Total Other revenue		51,218,413	40,366,198
Net Income		389,795,485	231,844,046
Net insurance benefits and claims paid		(35,753,939)	(29,030,956)
Net change in insurance claims outstanding		813,869	554,779
Underwriting and Net Acquisition Costs		(139,751,134)	(60,844,120)
Change in Contract Liabilities - Life Fund		(129,121,930)	(88,087,313)
Other operating and administrative expenses		(71,704,988)	(42,283,767)
Net benefits and claims		(375,518,122)	(219,691,376)
Profit/(Loss) before tax		14,277,363	12,152,670
Income tax expense		-	-
Profit/(Loss) for the Period		14,277,363	12,152,670

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 31 March

	Notes	Three Months Ended 31 March 2018 Unaudited Rs	Three Months Ended 31 March 2017 Unaudited Rs
Profit / (Loss) for the Period		14,277,363	12,152,670
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		363,738	(497,696)
Fair value movement of AFS reserve transferred to life fund		(363,738)	497,696
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		14,277,363	12,152,670

The accounting policies and notes as set out in pages 7 to 10 form an integral part of these financial statements.

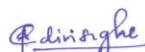
Arpico Insurance Plc

STATEMENT OF FINANCIAL POSITION

As at 31 March 2018

	Notes	31-Mar-18 Unaudited Rs.	31-Dec-17 Audited Rs.
Assets			
Property, Plant and Equipment		63,376,759	57,597,796
Financial Assets	7	1,523,859,248	1,346,980,154
Loans to Life Policy Holders		180,774,787	157,711,170
Reinsurance Receivable		24,193,765	20,702,073
Amounts due from related party		-	181,589
Premium Receivable		82,513,779	105,775,413
Other Assets		247,747,635	94,318,211
Cash and Cash Equivalents		148,859,153	320,778,531
Total Assets		2,271,325,126	2,104,044,937
Equity and liabilities			
Shareholders' Equity			
Stated capital		675,564,870	675,564,870
Revenue Reserves		271,909,517	257,632,153
Total Shareholders' Equity		947,474,387	933,197,023
Liabilities			
Insurance Contract Liabilities - Life	8	1,154,942,668	1,025,457,000
Employee Benefit Obligation		7,153,738	6,568,317
Reinsurance Creditors		32,296,508	30,859,018
Amounts Due to Related Party	10	15,748,816	9,694,865
Financial Liabilities		85,999,674	72,456,338
Other liabilities		27,709,335	25,812,376
Total Liabilities		1,323,850,739	1,170,847,914
Total Liabilities and Shareholders' Equity		2,271,325,126	2,104,044,937

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



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Manager Finance
(Iroshini Edirisinghe)

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



.....
Director
(W.J. Viville P. Perera)



.....
Director
(Shiron Gooneratne)

The accounting policies and notes as set out in pages 7 to 10 form an integral part of these financial statements.

15th May 2018
Colombo

Arpico Insurance Plc

STATEMENT OF CASH FLOW

For the three months ended 31 March

	Notes	2018 Rs.	2017 Rs.
Operating activities			
Receipts from Policyholders		369,373,467	200,409,335
Payments to Reinsurers		(6,097,269)	-
Claims Paid		(42,053,598)	(30,281,118)
Reinsurance receipts in respect of claims		6,074,217	-
Payments to Suppliers and Employees		(309,689,982)	(84,405,952)
Cash Inflow from Operating Activities		<u>17,606,834</u>	<u>85,722,265</u>
Tax Paid		(2,324,847)	(2,460,949)
Net Cash Flows from Operating Activities		<u>15,281,986</u>	<u>83,261,316</u>
Investing activities			
Purchase of property and equipment		(10,322,270)	(11,470,261)
Net drawdown of Investments		(176,879,094)	(99,212,646)
Net cash flows generated / (used) in investing activities		<u>(187,201,364)</u>	<u>(110,682,907)</u>
Financing Activities			
Proceeds from Share issue		-	-
Stamp Duty on Share Allotment		-	-
Net cash flows used in financing activities		<u>-</u>	<u>-</u>
Net (decrease)/increase in cash and cash equivalents		(171,919,378)	(27,421,591)
Cash and cash equivalents at 1 January		<u>320,778,531</u>	<u>106,504,318</u>
Cash and cash equivalents at 31 March		<u>148,859,154</u>	<u>79,082,727</u>
Analysis of Cash and Cash Equivalents			
Favourable Balances			
Cash at Hand		380,009	217,795
Cash at Bank		148,479,145	78,864,932
		<u>148,859,153</u>	<u>79,082,727</u>
Total Cash and Cash Equivalents		<u>148,859,153</u>	<u>79,082,727</u>

Arpico Insurance Plc

STATEMENT OF CHANGES IN EQUITY

For the Period ended 31 March 2018

	Stated Capital	AFS reserve	Revenue Reserve	Total
	Rs.	Rs.	Rs.	Rs.
Audited Balance as at 1 January 2017	675,564,870		79,145,019	754,709,889
Issue of share capital				-
Share Issue Expenses				-
Dividend Declared			(26,492,162)	(26,492,162)
Net profit for the period			206,013,214	206,013,214
Other Comprehensive Income			(1,033,916)	(1,033,916)
Audited Balance as at 31 December 2017	675,564,870	-	257,632,154	933,197,024
Issue of share capital				-
Other Comprehensive Income				
Net profit for the period			14,277,363	14,277,363
Unaudited Balance as at 31 March 2018	675,564,870	-	271,909,517	947,474,387

Notes to Interim Financial Statements

2.

The Condensed Interim Financial Statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 70 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the Audited Financial Statements - 2017 have been followed in preparation of these Condensed Interim Financial Statements . Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

3.	REVENUE	Notes	Three months	Three months	Year Ended 31
			ended 31 March	ended 31 March	December
			Unaudited	Unaudited	Audited
			2018	2017	2017
			Rs	Rs	Rs
	Gross Written Premium	4(a)	346,111,832	198,496,732	1,038,085,079
	Premium Ceded to Reinsurers	4(b)	(7,534,760)	(7,018,884)	(28,370,148)
	Net Written Premium		338,577,073	191,477,848	1,009,714,932
	Fees and commission income		6,457,087	4,407,746	8,064,174
	Investment income		43,088,700	34,838,865	163,757,872
	Other operating revenue		1,672,626	1,119,587	5,872,807
	Realise Gain		-	-	85,349
	Total Revenue		389,795,485	231,844,046	1,187,495,133

		Three months ended 31 March	Three months ended 31 March	Year Ended 31 December
		Unaudited	Unaudited	Audited
		2018	2017	2017
		Rs	Rs	Rs
4.	NET WRITTEN PREMIUMS			
4(a)	Gross premiums on insurance contracts			
	Conventional Policies	346,111,832	198,496,732	1,038,085,079
	Total gross written premiums	346,111,832	198,496,732	1,038,085,079

4 (b). Premiums ceded to reinsurers on insurance contracts	Three months ended 31 March Unaudited 2018 Rs	Three months ended 31 March Unaudited 2017 Rs	Year Ended 31 December Audited 2017 Rs
Conventional Policies	(7,534,760)	(7,018,884)	(28,370,148)
Total premiums ceded to reinsurers	(7,534,760)	(7,018,884)	(28,370,148)
Total net written premiums	338,577,073	191,477,848	1,009,714,932

	Three months ended 31 March Unaudited 2018 Rs	Three months ended 31 March Unaudited 2017 Rs	Year ended 31 December Audited 2017 Rs
5. INVESTMENT INCOME			
Available-for-sale financial assets- Interest Income	17,560,315	16,546,380	50,955,485
Loans and receivables interest income	25,528,385	18,292,485	112,802,387
Total investment income	43,088,700	34,838,865	163,757,872

Arpico Insurance Plc

Notes to Interim Financial Statements

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Three months ended 31 March Unaudited 2018 Rs	Three months ended 31 March Unaudited 2017 Rs
Profit /(Loss) for the year	14,277,363	12,152,670
Weighted Average Number of Ordinary Shares (Nos)	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	0.21	0.18

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial Statements.

7. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	31-Mar-18 Unaudited Rs	31-Dec-17 Audited Rs
Loans and receivables	1,195,219,219	1,025,127,561
Available-for-sale financial assets	328,640,029	321,852,593
Total financial instruments	1,523,859,248	1,346,980,154

The following table consists of the fair values of the financial investments together with their carrying values.

	31-Mar-18 Carrying value Unaudited Rs	31-Mar-18 Fair value Unaudited Rs	31-Dec-17 Carrying value Audited Rs	31-Dec-17 Fair value Audited Rs
Loans and receivables	7 (a). 1,195,219,219	1,195,219,219	1,025,127,561	1,025,127,561
Available-for-sale financial assets	7 (b). 328,640,029	328,640,029	321,852,593	321,852,593
Total financial instruments	1,523,859,248	1,523,859,248	1,346,980,154	1,346,980,154

7 (a). Loans and receivables

	31-Mar-18 Unaudited Rs	31-Dec-17 Audited Rs
Investment in Corporate Debt	595,220,085	584,079,538
Investment in Fixed Deposit	124,468,434	120,983,216
Investment in Repos	515,530,700	360,064,808
	1,235,219,219	1,065,127,561
Provision for Impairment	(40,000,000)	(40,000,000)
	1,195,219,219	1,025,127,561

7 (b). Available for sale financial assets

	31-Mar-18 Unaudited Rs	31-Dec-17 Audited Rs
Treasury Bonds	328,640,029	321,852,593
	328,640,029	321,852,593

Arpico Insurance Plc

Notes to Interim Financial Statements

8. INSURANCE CONTRACT LIABILITIES		31-Mar-18 Unaudited Rs	31-Dec-17 Audited Rs
Balance as at beginning		1,025,457,000	726,047,856
Change in contract liabilities life fund			
Increase in Life insurance fund before surplus transfer	8 (a)	129,121,930	436,459,576
Surplus transferred from share holders		-	(155,945,927)
Increase in Life insurance fund		129,121,930	280,513,649
Movement in AFS reserve transferred to life fund		363,738	18,895,495
Balance as at End		1,154,942,668	1,025,457,000

8 (a) Increase in Life insurance fund before surplus transfer

2018 March (Unaudited)			
	Gross Insurance Contract Liabilities Rs	Reinsurance on insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	346,111,832	(7,534,760)	338,577,073
Liabilities paid for death, benefits and claims	(44,505,979)	9,565,909	(34,940,070)
Underwriting and Net Acquisition Costs	(139,751,134)		(139,751,134)
Fees (deducted)/received	8,129,713		8,129,713
Investment return	28,811,336		28,811,336
Realise Gain	-		-
Other operating and administrative expenses	(71,704,987)		(71,704,987)
As at 31st March 2018	127,090,781	2,031,149	129,121,930

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant Actuaries for the year ended 31st December 2017 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 December, 2017 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consultant M/S Actuarial Partners. Based on that valuation, the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance Plc

Notes to Interim Financial Statements

9. TAXATION AND DEFERRED TAX

The company is liable to pay income tax at the rate of 28% of its taxable profits in accordance with the provision of the Inland Revenue Act, No 10 of 2006 and subsequent amendment thereto. Life Insurance Business does not have an income tax expense so far.

Thus, no deferred tax assets is recognized in the financial Statements as it is not probable that the future taxable profit will be adequate to utilize the available tax losses fully in the foreseeable future.

10. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	31-Mar-18 Unaudited Rs	31-Dec-17 Audited Rs
Richard Pieris & Company PLC	Ultimate Parent	1,840,628	-
Richard Pieris Distributors Limited	Affiliate	9,575,150	7,212,260
Arpitech (Pvt) Ltd	Affiliate	2,871,480	1,040,633
Arpico Interiors	Affiliate	1,461,558	1,441,973
		<u>15,748,816</u>	<u>9,694,865</u>

11. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31st March 2018, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

12. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

Arpico Insurance Plc

Notes to Interim Financial Statements
For the Period ended 31 March 2018

Shareholder Information

Top 20 Shareholder

Name of the Shareholder	As at 31 March 2018	
	Shareholding	% on Issued Shares
1 Kegalle Plantaion	26,685,001	40.29
2 Richard Pieris Distributors Limited	17,790,001	26.86
3 Richard Pieris And Company Plc	15,125,001	22.84
4 Mr.J.P.Paul	1,498,273	2.26
5 Mr.C.S.N.Silvapulle	668,399	1.01
6 Mr.S.Sivashanth	400,000	0.60
7 Mr.H.V.Senaweera	393,316	0.59
8 Mr.P.B.Perera	262,820	0.40
9 Mrs.M.P.B.Fernando	244,129	0.34
10 Mr.A.P.Arumugampillai	200,000	0.30
11 Mr.B.A.R.Dissanayake	200,000	0.30
12 Peoples Leasing & Finance Plc/Mr.K.J. Gamage	172,339	0.26
13 Mr.G.D.R.Fonseka	161,000	0.24
14 Pan Asia Banking Corporation Plc/Mr.S.Gobinath	154,999	0.23
15 Mrs.M.S.E.V.E.A.U.Von Stumm	150,000	0.23
16 Mr.C.A.Elankainesan	145,829	0.22
17 Mr.F.N.Herft	143,811	0.22
18 Mr.S.A.Obeyesekere	103,300	0.16
19 Flybrunei Sdn Bhd	99,700	0.15
20 Mr.M.L.A.Benedict	93,001	0.14
	<u>64,690,919</u>	<u>97.64</u>

Public Shareholding

	As at 31st March 2018	
	No. of Shares	% on Issued Shares
Number of Shares	<u>6,630,400</u>	<u>10.01</u>

	As at 31st March 2018	
	No. of Shareholders	% on Issued Shares
Number of Shareholders	<u>558</u>	<u>99.29</u>

Directors' Shareholdings

There is no share holding by the directors as at 31st March 2018

Number of Shares

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Ordinary Share

Share Performance

Net Asset Value Per Share as at As at 31st March 2018	14.31
Highest Price Per Share for the Interim Period	19.0
Lowest Price Per Share for the Interim Period	15.5
Last traded Price Per Share as at As at 31st March 2018	18.0